

Assumptions, Constraints, Risks & Mitigation Plan

Project Title

AI-Powered Credit Risk Analytics & Loan Default Prediction Platform

Executive Summary

Every analytics project operates under a set of assumptions, constraints, and risks that influence project execution, analytical outcomes, and business value. This document outlines the key assumptions, constraints, risks, and mitigation strategies for the project.

Project Assumptions

1. Data is assumed to be accurate and collected through reliable systems.
2. Historical borrower behavior contains patterns useful for predicting future defaults.
3. Default labels in the dataset are assumed to be reliable.
4. Lending policies and business context represented in the dataset are sufficiently consistent.
5. Required historical data sets are available and usable for analysis.

Project Constraints

1. Public dataset limitations.
2. Historical data only; no real-time information.
3. No transaction-level customer data.
4. Limited computing resources.
5. Limited project timeline.
6. Need for explainable and interpretable models.

Project Risks

Data Quality Risk, Class Imbalance Risk, Model Overfitting Risk, Feature Engineering Risk, Interpretation Risk, Generalization Risk, and Technology Integration Risk.

Mitigation Strategies

Perform data quality assessments, apply imputation methods, use cross-validation, address class imbalance, validate features, use explainable AI techniques, and maintain detailed project documentation.

Conclusion

Understanding assumptions, constraints, and risks helps ensure realistic expectations, transparent communication, and successful delivery of business value.